

TRU UTILITY TOKEN WHITEPAPER

Standalone Ecosystem Whitepaper: Purpose, Utility Mechanics, and Economic Design of the TRU Platform Utility Credit

STATUS: FINAL — APPROVED FOR PUBLICATION

Important Notice

TRU is a platform utility credit issued within the TradeREA ecosystem. TRU is not a security, and this document does not constitute an offer or solicitation to sell securities in any jurisdiction. TRU is not sold to raise development capital, carries no equity, voting, governance, profit-sharing, or dividend rights, and is not designed or marketed as an investment.

TradeREA also issues separate, independently regulated digital instruments representing fractional real estate ownership interests. Those instruments are governed by their own offering documents and are outside the scope of this whitepaper. Nothing in this document should be read as describing, referencing, or extending rights related to those instruments.

1. Executive Summary

TRU is TradeREA's internal platform utility credit — an account-bound, non-transferable unit used to reduce platform transaction fees, unlock tiered membership benefits, and support feature access across the TradeREA ecosystem.

Unlike a speculative or investment asset, TRU has no independent price discovery mechanism, cannot be traded on public exchanges or secondary markets, and is not transferable between users. Its value proposition is purely functional: it exists to make ordinary use of the TradeREA platform simpler and less costly, not to generate a financial return.

TRU is acquired through direct purchase (users buy fiat/stablecoins at market price from TradeREA's reserve or secondary market) or activity-based platform rewards. Membership is determined by holding a balance; users maintain their tier status automatically as long as their balance meets the threshold, with no fees or consumption required.

2. Problem Statement

Users of digital platforms that combine multiple fee-generating activities (transaction fees, service fees, tiered feature access) typically face two recurring frictions:

- Unpredictable, activity-by-activity fees that are difficult to plan around or reduce through ordinary use of the platform.
- No simple, low-risk mechanism to lower those costs over time without holding a speculative or volatile asset.

TRU is designed to resolve both frictions by giving platform users a stable, non-speculative internal credit that can be acquired predictably and used consistently to reduce the cost of participating on the TradeREA platform. Holding a defined TRU balance unlocks tiered fee discounts automatically, with no consumption or periodic maintenance required.

3. The Utility Token: Purpose & Use Case

TRU functions exclusively as an internal platform utility credit, designed to reduce platform fees and unlock membership tiers. It has no independent price discovery mechanism and cannot be traded on external secondary venues, public mainnet bridges, or decentralized exchanges (DEXs). TRU is strictly non-transferable between user accounts outside of the secondary market.

TRU is acquired as an internal credit following verified user fiat or stablecoin deposits (from TradeREA's reserve or secondary market), or earned through activity-based platform rewards. It is not sold to raise platform development capital, and holding TRU does not create or imply any ownership interest, equity position, voting right, or expectation of profit.

What TRU Is Used For:

- Reducing standard platform transaction fees (percentage-based discounts determined by TRU balance tier)
- Unlocking tiered membership status and associated feature access (Bronze, Silver, Gold, Platinum)
- Supporting predictable, account-bound accounting for platform activity

4. Token Utility Mechanics

4.1 Fee Discount Mechanics: Account-Bound Balance Thresholds

Users holding a defined balance of TRU in their platform account unlock percentage-based discounts on standard platform transaction fees. No credits are consumed or burned to maintain these discounts; discounts remain active as long as the user holds a balance meeting the tier threshold.

TIER STRUCTURE:

- Bronze: 1,000 TRU minimum = 10% fee discount
- Silver: 5,000 TRU minimum = 25% fee discount + 1h early access
- Gold: 25,000 TRU minimum = 50% fee discount + 6h early access
- Platinum: 100,000 TRU minimum = 75% fee discount + 12h early access

Discounts apply automatically and are live at all times. There is no lag, approval process, or consumption mechanic. Users benefit immediately upon reaching a tier threshold and lose the benefit immediately if their balance falls below that threshold.

4.2 Token Acquisition Model

TRU is acquired through two complementary channels:

- **Direct Platform Purchase:** Users purchase TRU from TradeREA's fixed reserve by depositing fiat currency or a stablecoin. The amount of TRU they receive is determined by the current market price: $\text{deposit amount} \div \text{current TRU price per token}$. As the token price varies (determined by the secondary market), the quantity of TRU received from a fixed fiat deposit changes accordingly.
- **Activity-Based Rewards:** Users earn non-transferable TRU credits automatically as promotional rewards based on platform activity, account tenure, or usage milestones, without any cash outlay. Rewards are allocated from TradeREA's fixed reserve.

Both channels feed the same account-bound TRU balance and contribute equally to tier qualification.

4.3 Membership & Tier Mechanics: Balance-Based Holding

Platform membership status and tiered feature access are determined solely by cumulative TRU balance held in the user's account. No periodic fees, consumption, burning, or active maintenance is required.

TIER QUALIFICATION & BENEFITS:

Once a user's balance reaches and maintains a tier threshold, they automatically unlock that tier's full benefits:

- **Bronze (1,000+ TRU):** 10% fee discount
- **Silver (5,000+ TRU):** 25% fee discount + 1-hour early access
- **Gold (25,000+ TRU):** 50% fee discount + 6-hour early access
- **Platinum (100,000+ TRU):** 75% fee discount + 12-hour early access

As long as a user's balance meets a tier threshold, that tier's benefits are automatically active. Benefits are live and immediate; there is no delay, confirmation step, or additional process required.

If a user's TRU balance falls below a tier threshold (due to selling on secondary market or other activity), they automatically drop to the next lower tier. Users can always re-qualify for a higher tier by acquiring more TRU through purchase or activity-based rewards.

Membership tiers do not confer any ownership interest, profit share, equity, voting rights, or claim on any asset, fund, or third party.

5. Token Economics

5.1 Fixed Supply Model

TRU operates on a fixed supply model. The total supply of TRU is 3,000,000 tokens. No new tokens are minted and no tokens are burned. All TRU tokens in circulation are allocated from this fixed pool:

- **TradeREA Reserve:** TradeREA maintains a reserve of TRU tokens available for sale to users. Users purchase TRU from this reserve by depositing fiat currency or stablecoins. The number of tokens received is determined by the current market price: users receive TRU equal to their fiat deposit

divided by the current TRU price (e.g., a \$100 deposit at \$2/TRU price = 50 TRU; a \$100 deposit at \$0.50/TRU price = 200 TRU).

- **Activity-Based Rewards:** Users earn TRU credits as promotional rewards based on platform activity, account tenure, or usage milestones. These rewards are allocated from TradeREA's fixed reserve.
- **Secondary Market:** Users who hold TRU can sell their tokens to other users through an automated order book mechanism. Price discovery is automatic based on supply and demand between users. TradeREA does not repurchase tokens from users; all secondary market transactions occur at prices determined by the order book.
- **No Minting or Burning:** Because the total supply is fixed at 3,000,000 TRU, no tokens are created or destroyed. All transactions represent transfers of existing tokens from TradeREA's reserve to users, or between users in the secondary market.

5.2 Automatic Market-Driven Pricing

TRU does not have a fixed token price. The current token price is determined automatically through market supply and demand in the secondary market order book, where users buy and sell TRU with each other. Price discovery is continuous and reflects real-time trading activity.

When users purchase TRU from TradeREA's reserve, they acquire tokens at the current market price: the number of tokens received equals their fiat deposit divided by the current TRU price as determined by the order book.

The token price may vary based on:

- User demand for TRU and tier qualification
- Platform utilization and fee activity levels
- Secondary market trading volume and activity
- Macroeconomic conditions and stablecoin pricing
- Regulatory environment and compliance requirements

Price discovery is automatic and transparent. All users can see the current market price when purchasing TRU from TradeREA's reserve or trading with other users. This market-driven pricing model ensures TRU acquisition costs remain responsive to genuine platform economics and user demand while maintaining a fixed supply cap.

How It Works: If the order book shows TRU trading at \$2.00/token, a user depositing \$100 receives 50 TRU. If market demand increases and the price rises to \$4.00/token, a subsequent \$100 deposit receives 25 TRU. The market price is determined by buy and sell orders from users in the secondary market, not by TradeREA.

5.3 Reward Allocation Controls

Because TRU has a fixed supply of 3,000,000 tokens, activity-based rewards are allocated from TradeREA's fixed reserve. Reward distribution is subject to a mathematical cap to prevent reserve depletion:

$$\text{Max Monthly Reward Allocation} \leq \text{Monthly Platform Fee Revenue} \times \text{Capped Reward Ratio}$$

This ensures that reward issuance remains proportional to platform activity and fee generation, preventing the reserve from depleting too rapidly while maintaining incentive alignment with platform economics.

8. Governance

TRU currently carries no governance rights. Holding, spending, or earning TRU does not grant voting power, control over platform decisions, or any form of corporate governance participation in TradeREA or any affiliated entity.

9. Risk Factors & Disclaimers

TRU is not a security and is not intended to be an investment. Key risk factors:

- **No Profit Expectation:** TRU carries zero equity ownership, voting stock, corporate governance control, profit-sharing rights, or dividend rights.
- **No Independent Value or Liquidity:** TRU cannot be traded outside a user's TradeREA account on public exchanges. Secondary market is limited to users.
- **Market Price Volatility:** The token price fluctuates based on supply and demand in the secondary market. TRU acquired at one price may be worth less when sold.
- **Platform Dependency:** TRU's utility is entirely dependent on continued operation of the TradeREA platform.
- **Regulatory Uncertainty:** Digital asset regulation continues to evolve. Future regulatory interpretation could require changes to TRU's mechanics or availability.
- **Secondary Market Risk:** Users can only sell to other users; TradeREA does not repurchase. Liquidity depends on market demand.

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